

ORIGINAL

(S E R V E D)
(APRIL 16, 1992)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

April 16, 1992

DOCKET NO. 89-26

THE GOVERNMENT OF THE TERRITORY OF GUAM, ET AL.

v.

SEA-LAND SERVICE, INC. AND
AMERICAN PRESIDENT LINES, LTD.

COMPLAINANTS' MOTION TO BIFURCATE THIS PROCEEDING
GRANTED IN PART

Complainants on March 16, 1992, filed a motion to bifurcate this proceeding. The first "liability" phase would include a determination of whether and to what extent respondents American President Lines, Ltd. (APL) and Sea-Land Service, Inc. (Sea-Land) have violated the Shipping Act, 1916, 46 U.S.C. app. secs. 801-842 (1988), and the Intercoastal Shipping Act, 1933, 46 U.S.C. app. secs. 843-848 (1988), as alleged in Counts I through IV of the Amended Complaint, and a determination of whether complainants are entitled to certain forms of relief, including, but not limited to, reparations. This

determination would include a finding of which forms of relief are appropriate and which shippers are eligible for such relief. The second phase would include a determination of which shipments are eligible for an award of reparations, a calculation of the exact amounts of reparations due on those shipments in accordance with 46 C.F.R. sec. 502.252 (1991), should reparations be awarded, and an award of any other forms of relief that may be due. Complainants urge that bifurcation would reduce the amount of evidence to be introduced in the parties' direct case, expedite resolution of the issues presented and conserve resources.

Complainants' direct evidence was filed March 17, 1992, and respondents' direct evidence is due July 13, 1992.

Sea-Land urges denial of the motion arguing that its intent is to evade a March 9, 1990, order dismissing the complaint insofar as it seeks reparations to Guam for shipments by other than complainants Government of the Territory of Guam, Pacific International Company, Inc., Town House Department Stores, Inc., and Micronesian Brokers Incorporated; that the motion seeks to upset the agreed-upon schedule and is contrary to the general rule. In the alternative, if bifurcation is allowed, neither phase should include consideration of evidence relating to shipments and shippers other than the named complainants.

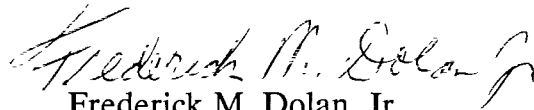
APL strongly opposes the motion urging that it is a last minute attempt to change the structure of the hearing previously agreed upon and approved by which complainants would include their entire direct case in their March 17, 1992, filing. APL observes that part of the proof needed will be evidence that complainants paid the freight charges on the

shipments for which reparation is sought and this is not a voluminous nor complex matter. APL also notes that complainants' experts have presented detailed analyses, refined to two decimal places, regarding the precise amounts by which complainants allege that the rates charged exceeded just and reasonable levels leaving only one step to compute the reparations due. Both respondents believe the number of shipments entitled to potential damages is small.

It clearly would have been preferable, for numerous obvious reasons, for complainants to have had this question of bifurcation presented long before it presented its direct case and before the parties agreed to a schedule for filing evidence. However, in the circumstances a reasonable and fair solution is the alternative proposed by Sea-Land.

It is Ordered:

Complainants' motion to bifurcate this proceeding is granted in part. The proceeding will be separated into a liability phase and, if liability is found, an opportunity will be provided for submitting proof of damages as contemplated by the Commission's rules with the caveat that neither phase may include presentation of evidence relating to shipments of other than those of the four complainants, Government of the Territory of Guam, Pacific International Company, Inc., Town House Department Stores, Inc., and Micronesian Brokers Incorporated.


Frederick M. Dolan, Jr.
Administrative Law Judge